Express Kenya Public Limited Company
Unaudited half year results and consolidated financial statements
For the period ended 30 June 2023

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	6 Months to 30th June 2023 Shs '000	12 Months to 31st December 2022 Shs '000
Revenue from contracts with customers	14,138	30,876
Direct costs	(46,747)	(77,150)
Gross (loss)	(32,609)	(46,275)
Other operating income	-	1,171
Impairment provisions	-	133
Administrative expenses	(5,696)	(12,664)
Other operating expenses	(9,201)	(10,363)
Operating (loss)	(47,505)	(67,997)
Finance costs	(2,222)	(34,366)
(Loss) before tax	(49,728)	(102,363)
Tax credit/(charge)	14,683	21,234
(Loss) for the period/year	(35,044)	(81,129)
Basic and diluted (loss) per share	(0.73)	(1.70)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	As at 30 June 2023 Shs '000	As at 31 December 2022 Shs '000
CAPITAL EMPLOYED		
Share capital	238,557	238,557
Share premium	28,963	28,963
Revaluation reserve	845,382	877,392
Accumulated losses	(524,636)	(521,601)
Shareholders' funds	588,267	623,312
Non-current liabilities		
Deferred tax	422,859	437,541
	718,613	729,275
	1,306,879	1,352,586
REPRESENTED BY		
Non-current assets		
Property, plant and equipment	304,559	316,444
Right-of-use assets	982,868	1,019,736
	1,287,426	1,336,180
Current assets		
Inventories	28,752	28,752
Trade and other receivables	3,075	3,880
Cash and cash equivalents	7	732
Tax recoverable	31,301	31,301
	63,135	64,665
Current liabilities		
Borrowings	8,071	10,620
Lease liabilities	5,366	5,366
Trade and other payables	30,245	32,273
	43,682	48,259
Net current assets	19,453	16,406
	1,306,880	1,352,586

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Accumulated losses Shs '000	Total Shs '000
Period ended 30 June 2023					
At start of period	238,557	28,963	877,392	(521,601)	623,312
(Loss) for the year	-	-	-	(35,045)	(35,045)
Transfer of excess depreciation	-	-	(45,728)	45,728	-
Deferred tax on excess depreciation transfer	-	-	13,718	(13,718)	-
At end of period	238,557	28,963	845,382	(524,636)	588,267

ABRIDGED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 30 JUNE 2023

	30 June 2023 Shs '000	31 December 2022 Shs '000
At start of year	(4,331)	(4,754)
Net cash from/(used in) operating activities	(2,197)	4,031
Net cash from/(used in) investing activities	-	(53)
Net cash (used in)/from financing activities	1,242	(3,525)
Effect of exchange rate changes	-	(29)
At end of year	(5,286)	(4,331)

The above are extracts from the unaudited financial statements of the group for the period ended 30 June 2023.

For the period to 30 June 2023, the directors do not recommend the declaration of a dividend.

By order of the Board

Chief Executive Officer

Performance

During the half-year ended 30th June 2023 the Groups' revenue slightly dropped by 12% to 14M compared to 16M for period ended 30th June 2022. Loss before tax stood at 49M, an increase of 32%, compared to a loss before tax of 37M for the period ended 30th June 2022. The increase in loss is largely attributed to the revaluation of its Right of Use Assets in line with International Financial Reporting Standards 16 (IFRS 16 - Leases) as at 31st December 2022 and the depreciation on the resultant revaluation surplus has led to the increased direct costs and loss for the year.

Future Outlook

The Board and Management have continued to focus on enhancing the company's financial performance through improving operational efficiency, growing income, Sale of assets ,reducing losses and managing costs.